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(i) Opening journal entry

At the end of the accounting year, all nominal accounts are closed but the business has to be carried on with previous year's assets and liabilities. Hence, these accounts are to be brought into the accounts of the current year. Journal entry made in the beginning of the current year with the balances of assets and liabilities of the previous year is opening journal entry. In this entry, asset accounts are debited, liabilities and capital accounts are credited.

Example

Ramnath carried forward the following items. Make the opening entry in journal proper as on 1st January, 2017.

Cash	` 30,000	Stock	` 15,000
Furniture	` 3,000	Sundry Creditors	` 10,000

Opening Entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Cash A/c	Dr.		30,000	
Jan 1	Stock A/c	Dr.		15,000	
	Furniture A/c	Dr.		3,000	
	To Sundry creditors A/c				10,000
	To Capital A/c				38,000
	(Balance of assets and liabilities brought forward)				

(ii) Closing journal entry

At the end of the accounting period, all the ledger accounts relating to purchases, sales, purchases returns, sales returns, stock and other accounts concerning expenses, losses, incomes and gains are closed by transfer to trading and profit and loss account so that financial statements can be prepared. It should be noted that closing entries are made for nominal accounts only.

Example: Salaries account ` 10,000. The closing entry as on 31st December, 2017 is:

Closing Entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Profit and Loss A/c	Dr.		10,000	
December 31	To Salaries A/c				10,000
	(Salaries A/c transferred to Profit and Loss A/c)				

iii) Adjusting entries

After preparing the trial balance, but before preparing the final accounts, if any adjustment is required in the accounts for items or transactions left out, adjusting entries are made.